

4.2 SOLE PROPRIETORSHIPS & PARTNERSHIPS

Microeconomics by Topic
4. Ownership & Expansion of Firms

MARKING SCHEME

1990/CE/II/12 C	1993/CE/II/09 C	1999/CE/II/18 C	2001/CE/II/22 A	2014/DSE/I/08 B (74%)
1990/CE/II/21 B	1993/CE/II/09 B	1999/CE/II/21 D	2005/CE/II/22 B (80%)	
1991/CE/II/15 C	1999/CE/II/17 C	2000/CE/II/20 C	2009/CE/II/21 C (32%)	2022/DSE/I/05 B

Note: Figures in brackets indicate the percentages of candidates choosing the correct answers.

1995/CE/II/1

(General) partnership

- 2 to 20 partners

- unlimited liability / each partner is fully liable for the firm's debts

- death and bankruptcy of a partner will lead to dissolution of the partnership

- act by one partner binds all other partners

- difficult to admit or withdraw partners

- financial statements need not be publicly disclosed

[Mark the **FIRST THREE** features only.]

(1)

(1@, max: 3)

1995/CE/II/11(c)

- low set up cost

- easy to set up and dissolve, so suitable to business with sudden ups and downs

- lower profits tax rates

- low accounting cost

[Mark the **FIRST THREE** points only.]

(2@, max: 6)

1998/CE/II/9(b)

- wider source of capital

- better division of labour among owners (wider scope of specialization)

- risk and cost can be shared among partners

[Mark the **FIRST TWO** points only.]

(2@, max: 4)

2018/DSE/II/2(a)

- Peter wants to invite more investors to get new funds for expansion of his business.

- Peter can make use of different expertise from Paul and Mary in the new markets.

(1)

(1)

<HKDSE 2022 Paper 2 – 1a>

1. (a) Advantages:

— Ability to raise capital by issuing shares to the general public

— Easier transfer of its ownership

— Any other relevant point.

[Mark the **FIRST** point only.]

@1

Max: 1